

Micron Technology, Inc.

MU NASDAQ

Buy	\$1081.87 ▲ 0.12%	12M Price Target \$1250.00	52-Week Range \$155.18 – \$1255.00	Market Cap \$1.22T
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MU: AI Memory Monster Heads Into Make-or-Break Earnings

WHAT HAPPENED

- Stock is basically flat today (+0.12%) but that's masking real drama — MU is up 279% YTD heading into earnings, and the news flow is mixed. Quartz is flagging that the NVIDIA chip launch benefit might be delayed (bad), while IBD says memory stocks are trying to break out (good). Translation: the market is holding its breath before the earnings print.
- The options tape is screaming caution — put/call ratio is 0.60 overall (bullish-looking) but there's a MASSIVE unusual call buy at \$1080 strike expiring this week (31k contracts, 12.8x open interest) paired with big put buys at \$1090 and \$1100. That's not directional betting — that's traders straddling the earnings, meaning they expect a big move but don't know which way.

WHY IT MATTERS

Here's the real story: MU is up 279% because HBM memory (the specialized chips that feed AI processors) went from commodity to critical, and Micron is one of only three players globally that can make it. But the stock is now at 84% of its 52-week range with a \$1.22T market cap — meaning a LOT of good news is priced in. The Quartz headline about "delayed NVIDIA benefit" is the market's biggest fear crystallized: if Micron's HBM3E revenue ramp slips a quarter because NVIDIA's next chip is late, the multiple compression could be brutal. That said, the CHIPS Act subsidies and the Biden/Trump-era bipartisan consensus on domestic semiconductor manufacturing means Micron has a policy floor under it that didn't exist two years ago — this isn't a normal cyclical anymore.

POLICY & POLITICAL WATCH

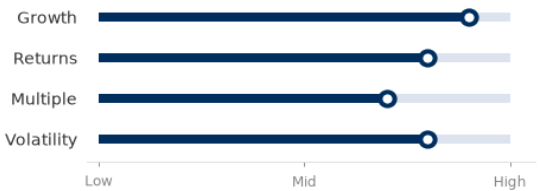
Two big things moving right now: (1) The CHIPS Act 2.0 discussions in Congress — an expansion of the original \$52B semiconductor subsidy package — would be a direct tailwind since Micron already has ~\$6B in awards for Idaho and New York fabs. (2) The China angle is heating up: CXMT (China's memory champion) is ramping commodity DRAM production, and there's active debate in Washington about tightening export controls AND slapping tariffs on Chinese memory imports. If tariffs pass, Micron's pricing power on legacy DRAM improves; if CXMT floods the market unchecked, margins on non-HBM products get squeezed. Also watch the U.S.-Iran peace talks headline — geopolitical risk-off is a small positive for cyclical stocks like MU.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$1081.87
12M Price Target	\$1250.00
Upside / (Downside)	+15.5%
Market Cap	\$1.22T
FY2026E Revenue	\$52,000M
FY2027E Revenue	\$68,000M
FY2026E EPS	\$14.20
FY2027E EPS	\$21.50
Fwd P/E	76.2x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$1200.00	\$1100.00	\$950.00
6 Months	\$1400.00	\$1200.00	\$850.00
1 Year	\$1600.00	\$1250.00	\$750.00
2 Years	\$2000.00	\$1500.00	\$650.00
5 Years	\$3000.00	\$2200.00	\$500.00
10 Years	\$5000.00	\$3500.00	\$400.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Technology (+3.95% over 5 days) is clearly the belle of the ball — AI infrastructure spending remains the dominant narrative and semis are leading. Industrials also strong (+0.91%) on defense/reshoring themes tied to CHIPS Act manufacturing buildout.

COOLING OFF: Financials weakening (-1.55% over 5 days) as rate cut expectations shift; Consumer Staples flat as money flees defensives for growth.

ROTATION WATCH: Money is aggressively rotating INTO AI-adjacent semis and OUT of defensives — this is a "risk-on" tape driven by peace talks (Iran) and continued AI capex commitments from hyperscalers. Direct tailwind for MU.

RELATED PLAY: If MU rips, the picks-and-shovels of the memory business — companies like Applied Materials (AMAT) and Lam Research (LRCX) that make the equipment for HBM production — get a second-order lift.

WHO'S WINNING IN THIS SPACE?

- NVDA (NVIDIA): Still the anchor tenant of the AI trade — MU's HBM goes directly into NVDA GPUs, so their fates are linked
 - SNDK (Sandisk): IBD called it out today as trying to clear a buy point alongside MU — memory rally is broadening
- MU CONTEXT:** MU is LEADING its peer group with 279% YTD gains — that's both bullish (momentum) and dangerous (extended). When a stock leads this hard into earnings, the bar is sky-high. Any miss gets punished disproportionately.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

Position Size: 3-5% of portfolio

Entry Points: \$1000-1040 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: HBM pricing collapse, NVDA delays materialize, or China's CXMT floods commodity DRAM

Hedging: Buy protective puts around earnings or pair with short position in commodity DRAM peer